

A solid **Statement of Work (SOW)** for a banking application project needs to be more detailed and controlled than a typical software SOW—because you're dealing with security, compliance, and high reliability. Here's a practical, structured template you can adapt.

Statement of Work (SOW)

Banking Application Project

1. Project Overview

Briefly describe the purpose and goals.

Example:

The project aims to design, develop, and deploy a secure, scalable banking application that supports digital banking services including account management, fund transfers, loan services, and customer onboarding.

2. Objectives

Define clear, measurable outcomes.

- Develop a secure mobile and web banking platform
- Ensure compliance with regulatory standards (e.g., RBI, PCI-DSS)
- Enable real-time transactions and reporting
- Provide high availability (99.9% uptime or higher)

3. Scope of Work

In Scope

- User registration & KYC verification
- Account dashboard
- Fund transfers (NEFT, RTGS, IMPS, UPI integration)
- Bill payments & recharge
- Loan application module
- Admin panel & reporting
- API integration with core banking systems

Out of Scope

- Third-party financial advisory services
- Cryptocurrency trading (unless explicitly included)

4. Deliverables

- Business Requirements Document (BRD)
- Functional Specification Document (FSD)
- UI/UX designs
- Developed application (Web + Mobile)
- API integrations
- Test cases & QA reports
- Deployment & production release
- User manuals & training materials

5. Project Timeline & Milestones

Phase	Duration	Milestone
Requirement Analysis	3 weeks	BRD approval
Design	4 weeks	UI/UX sign-off
Development	12 weeks	Feature completion
Testing	6 weeks	UAT sign-off
Deployment	2 weeks	Go-live

6. Roles & Responsibilities

Client

- Provide requirements and approvals
- Ensure regulatory compliance inputs
- Provide access to core banking APIs

Vendor / Development Team

- Design and development
- Testing and QA
- Security implementation
- Deployment and support

7. Technology Stack (Example)

- Frontend: React / Angular
- Backend: Java (Spring Boot) / .NET
- Mobile: Flutter / Kotlin / Swift
- Database: PostgreSQL / Oracle
- Cloud: AWS / Azure
- Security: OAuth 2.0, JWT, encryption standards

8. Compliance & Security Requirements

- Data encryption (at rest & in transit)
- Multi-factor authentication (MFA)
- Audit logging and monitoring
- Compliance with:
 - RBI guidelines
 - PCI-DSS
 - GDPR (if applicable)

9. Acceptance Criteria

- All features meet functional requirements
- Zero critical/high defects at go-live
- Performance benchmarks achieved
- Security testing passed (VAPT, penetration testing)

10. Risk Management

Risk	Impact	Mitigation
Security breach	High	Regular audits, encryption
Integration delays	Medium	Early API testing
Regulatory changes	High	Compliance monitoring

11. Payment Terms

- 20% – Project initiation

- 30% – Design completion
- 30% – Development completion
- 20% – Post deployment

12. Change Management

- All scope changes must go through a formal Change Request (CR)
- Impact analysis on cost and timeline required
- Approval from both parties mandatory

13. Support & Maintenance

- 3–6 months post-launch support
- Bug fixes and minor enhancements
- SLA-based incident resolution

14. Termination Clause

Conditions under which the agreement may be terminated, including breach of contract or non-performance.

15. Sign-Off

Name Role Signature Date

Practical Advice

Don't keep this too generic. Banking SOWs fail when they're vague about **security, integrations, and ownership**. Be explicit about:

- Who owns data and APIs
 - Regulatory responsibility
 - Disaster recovery (RTO/RPO targets)
 - Audit requirements
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real-world SOW document for your specific bank

STATEMENT OF WORK (SOW)

Digital Banking Application Development

1. Project Overview

This Statement of Work (SOW) defines the scope, deliverables, timelines, and responsibilities for the development of a Retail Digital Banking Application ("the Application").

The Application will provide end customers with secure access to banking services including account management, payments, transfers, and loan services through mobile and web platforms.

2. Project Objectives

- Deliver a secure and scalable digital banking platform
- Enable seamless customer onboarding with e-KYC
- Provide real-time transaction capabilities
- Ensure compliance with regulatory standards including RBI guidelines
- Achieve high system availability ($\geq 99.9\%$)

3. Scope of Work

3.1 In-Scope Features

Customer Module

- User registration and authentication (MFA-enabled)
- e-KYC integration (Aadhaar/PAN-based verification)
- Account summary and transaction history
- Profile management

Payments & Transfers

- Fund transfers (IMPS, NEFT, RTGS, UPI)
- Beneficiary management
- Bill payments and mobile recharges

Loan Module

- Loan application submission
- Eligibility check
- Document upload and tracking

Notifications

- SMS, email, and push notifications

Admin Module

- User management
- Transaction monitoring
- Reporting dashboard
- Fraud monitoring indicators

Integration

- Core Banking System (CBS) APIs
- Payment gateways and UPI switch
- Third-party KYC services

3.2 Out of Scope

- Wealth management/advisory services
- Cryptocurrency services
- International remittance (unless specified separately)

4. Deliverables

- Business Requirements Document (BRD)
- Functional & Technical Design Documents
- UI/UX prototypes
- Mobile Application (Android & iOS)
- Web Application (Customer + Admin portal)
- API integrations
- Test plans, test cases, and QA reports
- Security audit reports (VAPT)
- Deployment documentation

- User manuals and training materials

5. Project Timeline & Milestones

Phase	Duration	Deliverable
Requirement Analysis	3 weeks	BRD Sign-off
Design	4 weeks	UI/UX Approval
Development	12–16 weeks	Feature Completion
Testing (SIT + UAT)	6 weeks	UAT Sign-off
Deployment & Go-Live	2 weeks	Production Release

6. Roles & Responsibilities

Client Responsibilities

- Provide detailed business requirements
- Share access to Core Banking and APIs
- Ensure regulatory and compliance inputs
- Timely approvals and feedback

Vendor Responsibilities

- Application design and development
- Integration with third-party systems
- Testing, QA, and bug fixing
- Security implementation
- Deployment and post-go-live support

7. Technology Stack

- Frontend: React (Web), Flutter (Mobile)
- Backend: Java (Spring Boot Microservices)
- Database: PostgreSQL / Oracle
- Cloud Infrastructure: AWS / Azure
- APIs: RESTful services
- Security: OAuth 2.0, JWT, SSL encryption

8. Security & Compliance

The system must comply with:

- RBI Digital Banking Guidelines
- PCI-DSS standards (for payment processing)
- Data encryption (AES-256 at rest, TLS 1.2+ in transit)
- Multi-factor authentication (MFA)
- Role-based access control (RBAC)
- Audit logs and monitoring

9. Acceptance Criteria

- All functional requirements implemented
- No critical or high-severity defects
- Performance benchmarks met (e.g., response time < 2 sec)
- Security testing completed successfully
- UAT sign-off obtained

10. Risk Management

Risk	Impact	Mitigation
Security vulnerabilities	High	Regular VAPT & code reviews
Integration delays	Medium	Early sandbox testing
Regulatory changes	High	Continuous compliance tracking
Performance issues	Medium	Load testing and optimization

11. Payment Terms

- 20% – Project initiation
- 25% – Design completion
- 35% – Development completion
- 20% – Post go-live and acceptance

12. Change Management

- All changes must be documented via Change Request (CR)
- Impact on cost and timeline will be assessed
- Requires approval from both client and vendor

13. Support & Maintenance

- 6 months post-launch support included
- SLA-based issue resolution:
 - Critical: < 4 hours
 - High: < 24 hours
 - Medium: < 72 hours

Optional AMC (Annual Maintenance Contract) available post-support period.

14. Data Privacy & Ownership

- All customer data remains property of the Client
- Vendor must ensure confidentiality and secure handling of data
- Compliance with applicable data protection laws

15. Termination Clause

Either party may terminate the agreement with 30 days written notice in case of:

- Material breach of contract
- Non-performance
- Regulatory restrictions

16. Sign-Off

Name	Role	Signature	Date
Client Representative			
Vendor Representative			